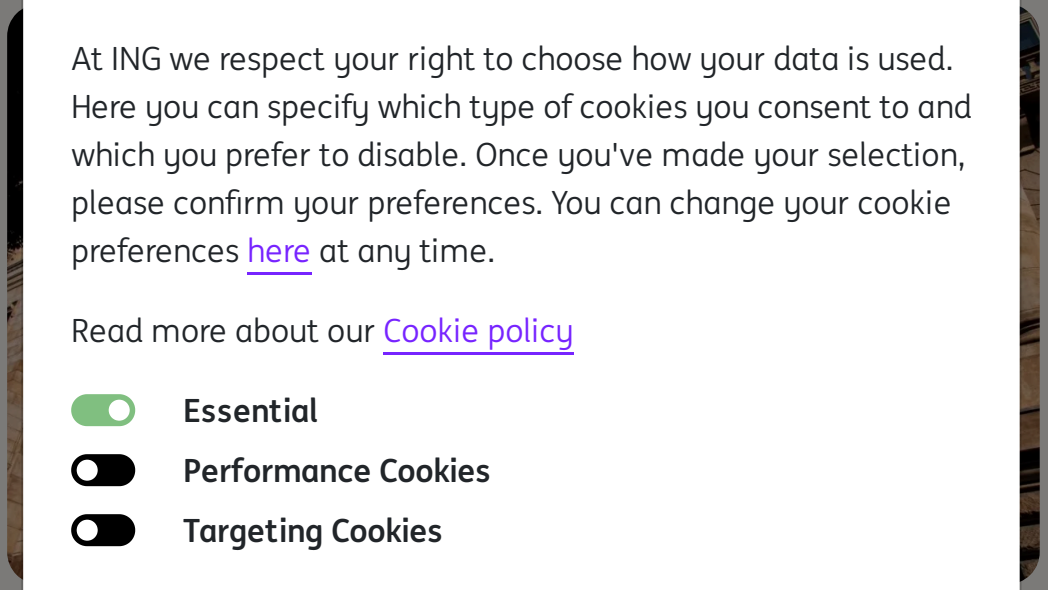
Although the inflation outlook remains favourable, the Monetary Council will likely err on the side of caution at the 20 October meeting, amid uncertainty surrounding the 2027 budget and prevailing risk sentiment. However, we still expect a rate cut by year-end



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Our call

The National Bank of Hungary (NBH) picked the cautious option last month, keeping the base rate unchanged. We haven't seen enough of a change since the September rate-setting meeting to think that this time will be different. Central bank representatives have repeatedly pointed to two key developments, and neither of them is inflation.

The inflation situation remains benign, shifting the focus to the 2027 draft budget and the medium-term fiscal consolidation plan. While the government handed the budget to the Fiscal Council on

15 October, the details are not yet public. The timing puts the central bank, and especially Governor Varga, in a delicate position. The Fiscal Council has three members: the chairman, the president of the State Audit Office and the governor of the National Bank of Hungary.

This means Varga and the NBH staff will have information on the 2027 budget, but it would look ill-advised to make a monetary policy decision based on it before the details enter the public domain. We wouldn't rule out the Fiscal Council publishing its opinion before the rate-setting meeting, followed by an announcement from the Ministry of Finance. Still, that won't leave e
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budget plans and inflation hovering around 2.0-2.5% YoY in early 2027, we expect further easing to follow. We forecast a terminal rate of 4.25% next year.

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Our market views

Hungary remains the key CEE story, with by far the largest long positioning across asset classes, driven by the idiosyncratic post-election narrative and prospects for euro adoption. Currently, the primary market focus is on fiscal policy and the draft budget for next year, rather than on monetary policy itself. In our view, market expectations regarding next year's fiscal deficit are shifting

downward, and we believe that an excessive degree of optimism has already been priced in. Consequently, it will be difficult for the government to deliver a positive surprise, even though the overall narrative is clearly moving in a positive direction.

Given the global situation and massive long positioning, markets appear fragile; from our perspective, it makes little sense for the NBH to test the market in such an environment. Market pricing points to one additional rate cut, assuming that BUBOR returns to a level above the key policy rate by the end of the easing cycle. With global energy prices hitting new highs, it would not be surprising if the market were to price out these remaining bets on rate cuts,

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lows, suggesting that a significant amount of good news is already priced in. Regarding bonds, historical precedent indicates that the spread should settle in the 50-120bp range by the time of entry into ERM II. Currently, the spread has just hit 200bp, yet we are still more than two years away from ERM II entry. Overall, while the underlying narrative remains bullish, we prefer to buy on dips at this stage.

Some background

Inflation developments remain supportive from a monetary policy perspective. Despite the global energy shock, headline inflation has

remained subdued, inching up to just 1.6% YoY in September, while core inflation ticked down by 0.1ppt to 1.9% YoY. We expect price growth to remain below the central bank's target for the rest of the year and throughout the first half of 2027.

The forint has proved more resilient to recent global sell-offs than in previous episodes. While EUR/HUF briefly approached 370, this level proved to be a hard ceiling. After the volatility seen in early October, the forint regained its footing and strengthened below 364 again. We believe this partly reflects elevated expectations surrounding the fiscal plans, with markets anticipating a frontloaded consolidation and a deficit target below 5% of GDP in 2027. While t
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